



Study Notes

Fiscal Responsibility & Budget Management Act (FRBM)

Introduction

- The Fiscal Responsibility and Budget Management (**FRBM**) Act was **enacted in 2003** which **sets the target** for the government **to reduce fiscal deficits**.
- The Act was passed on August 26, 2003, though it was brought **into effect from July 5, 2004**.
- Minor fiscal deficits are imperative for the growth of an economy in times of crisis as public intervention is needed to a certain extent; hence the need of a policy to monitor these movements.

Significance

- Ensure financial discipline and better macroeconomic management
- The Act envisages the setting of **limits on the Central government's debt and deficits**
 - it aims to eliminate revenue deficit of the country
 - It aims to limit the fiscal deficit to 3% of the GDP within a specified time frame
- Management of the public fund, hence moving towards a Balanced Budget
 - mandating greater transparency in fiscal operations of the Central government and the conduct of fiscal policy in a medium-term framework
- To curb the increasing debt burden on the country's economy as interest payments were consuming 50% of the Government revenue.
- To ensure that the States too are financially prudent, the 12th Finance Commission's recommendations in 2004 linked debt relief to States with their enactment of similar laws.
 - The States have since enacted their own respective Financial Responsibility Legislation, which sets the same 3% of Gross State Domestic Product (GSDP) cap on their annual budget deficits.

Statements mandated under the FRBM Act

The FRBM Act was launched primarily for the management of the governments' behavior, hence it provided certain documents to be tabled in the parliament annually with regards to the country's fiscal policy. This included the following along with the Annual Financial Statement and demands for grants:

- **The Medium Term Fiscal Policy Statement** - This statement was to present a **three-year rolling target for the fiscal indicators** with any assumptions, if applicable. This statement also included an assessment of sustainability with regards to revenue deficit and the use of capital receipts of the Government for generating productive assets.
- **The Fiscal Policy Strategy Statement** - This is a tactical report enumerating strategies and policies for the upcoming Financial Year including strategic fiscal priorities, taxation policies, key fiscal measures and an evaluation of how the proposed policies of the Central Government conform to the 'Fiscal Management Principles' of this act.

- **The Macro-Economic Framework Statement** - This report contains forecasts enumerating the growth prospects of the country which includes parameters like GDP growth, revenue balance, gross fiscal balance and external account balance of the balance of payments.

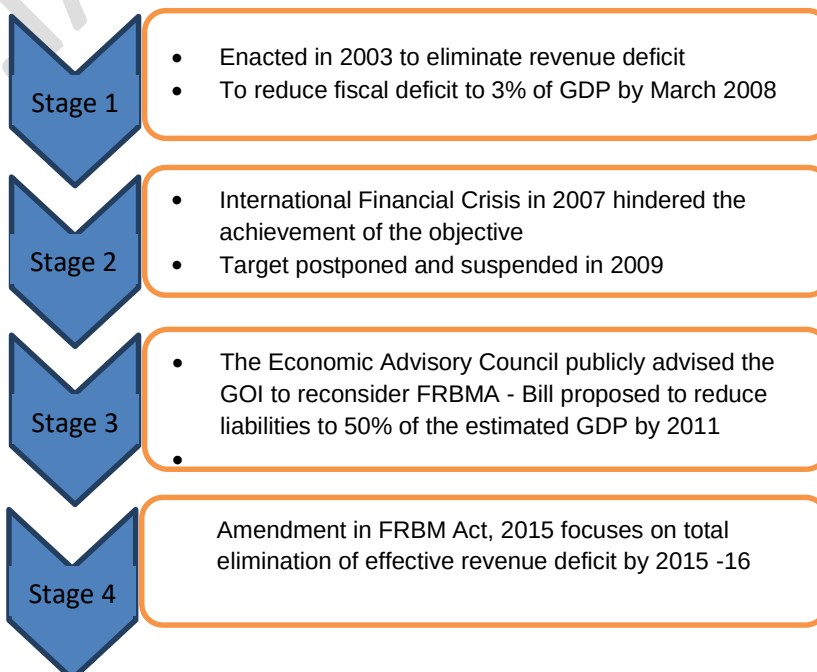
Box 1: Important terms for study of the FRBM Act

- ✚ **Revenue Deficit (RD)** – it is the difference between revenue expenditure and revenue receipts. A revenue deficit occurs when realized net income is less than the projected net income. A revenue deficit indicates that the liabilities of the Central Government has increased without increase in the assets of that Government
- ✚ **Effective Revenue Deficit (ERD)** – It is the difference between revenue deficit and grants for the creation of capital assets. Effective Revenue Deficit excludes those revenue expenditures which were done in the form of grants for the creation of capital assets.
- ✚ **Fiscal Deficit (FD)** – It is the difference between the total expenditure of the Government (excluding repayment of debt) and total receipts (excluding the borrowings). It is calculated as a percentage of GDP.
- ✚ **Gross Fiscal Deficit (GFD)** – The gross fiscal deficit is the excess of total expenditure including loans net of recovery over revenue receipts (including external grants) and non-debt capital receipts.
- ✚ **Primary Deficit** – It is calculated as the fiscal deficit minus the interest payments.

Stages of the Act

The FRBM Act initially introduced **four fiscal indicators** to be projected in the medium term fiscal policy statement, namely:

- Revenue deficit as a % of GDP
- Fiscal deficit as a % of GDP
- Tax revenue as a % of GDP
- Total outstanding liabilities as a % of GDP



Amendments to the Act

Rule 2004

- ✓ Government will reduce the gross fiscal deficit to 3% of the GDP by March 2008
- ✓ Central government shall reduce RD by an amount equivalent to 0.5% of GDP from 2004-05
- ✓ Government will not give guarantees aggregating to 0.5% of GDP from 2004-05

Rule 2004

Rule 2013

- ✓ Concept of effective revenue deficit was introduced
- ✓ Medium-term framework provides for rolling targets for expenditure, imparting greater certainty, that encourages prioritization of expenditure
- ✓ To bring down the GFD to not more than 3 per cent of GDP at the end of March 31, 2017
- ✓ To achieve RD target, Government will reduce RD by 0.6% of GDP from 2013-14
- ✓ To achieve the ERD target, Government will reduce the deficit to 0.8% of GDP from 2013-14

Rule 2004

Rule 2015

- ✓ GFD not more than 3% of GDP at end of March 31, 2018 from 2015-16
- ✓ RD of not more than 2% of GDP by March 31, 2018 with annual reduction by an amount equivalent to 0.4% of GDP beginning from 2015-16
- ✓ To achieve target of effective revenue deficit by March 31, 2018, the Government may reduce such deficit by an amount equivalent to 0.5% of GDP from 2015-16

Rule 2018-19

- ✓ Government will reduce the fiscal deficit by 0.1% or more of the GDP each financial year thereafter so that the fiscal deficit is reduced to 3% of GDP by March 2021
- ✓ Proposes to reduce fiscal deficit to 3.3%, 3.1% and 3% of GDP by 2018-19, 2019-20 and 2020-21

Note:

- The achievement of the targets has once again been hindered by COVID-19.
- Also, the government has used the escape clause of the Act
- ***The fiscal deficit target of reaching 3% of GDP has been revised from the initial goal of March 31, 2009, to March 31, 2021, when the rules were amended in 2018, and most recently to the setting of a target of 3.1% for March 2023.***

FRBM Review Committee of 2016

- Finance Minister Arun Jaitley announced the FRBM Review Committee to be set up in the budget speech of February 2016–17 to evaluate the FRBM Act, 2003 in order to assess its functionality since its inception.
- This committee was headed by Mr N.K. Singh, submitted its report in January 2017. The Committee proposed a draft Debt Management and Fiscal Responsibility Bill, 2017 to replace the Fiscal Responsibility and Budget Management Act, 2003 (FRBM Act)
- Key recommendations** of the committee were:
 - **Debt-to-GDP ratio** – The committee suggested to use “debt” as the primary target for fiscal policy. A debt-GDP ratio of 60% should be targeted with a 40% limit for the center and 20% limit for the states. The targeted ratio should be achievable by 2023.

Deficit and debt targets (% of GDP) (referred to as the **fiscal glide path**)

Year	Fiscal Deficit	Revenue Deficit	Debt
2017-18	3.0%	2.1%	47.3%
2018-19	3.0%	1.8%	45.5%
2019-20	3.0%	1.6%	43.7%
2020-21	2.8%	1.3%	42.0%
2021-22	2.6%	1.1%	40.3%
2022-23	2.5%	0.8%	38.7%

- **Fiscal Council** – The Committee proposed to create an autonomous Fiscal Council to advise the government on fiscal matters, with a Chairperson and two members appointed by the center.
In order to make it independent non-renewable term of 4 years for chairman and members was proposed. The council shouldn't consist any government employee
- **Deviations**: The committee proposed for SPECIFIC cases for deviations from the targets of FRBM Act like national security, national calamity or other exceptional circumstances. The government should not be allowed to notify other circumstances
 - **Debt trajectory for individual states**: Recommended that 15th Finance Commission should recommend for this based on track record of fiscal prudence.
- **Borrowings from RBI** - The draft Bill restricts the government from borrowing from RBI except when:
 - The centre has to meet a temporary shortfall in receipts,
 - RBI subscribes to government securities to finance any deviations from the specified targets, or
 - RBI purchases government securities from the secondary market

Revision in Glide path – 2019

- The Economic Survey 2018-19 stated that the General Government (Centre plus States) has been on the path of fiscal consolidation and fiscal discipline.
- However, it could not strictly adhere to the FRBM Act glide path due to structural disruptions such as GST
- As such, the fiscal glide path was revised as follows:
 - Achieving fiscal deficit of 3% of GDP by FY 2020-21 (as against by FY2019-20 i.e. extended by 1 year)
 - Central Government debt to 40% of GDP by 2024-25 (as against by FY2022-23, i.e. extended by 2 years)

Escape Clause under the FRBM Act

- The NK Singh committee added an **escape clause** in its recommendations, allowing the government slippages up to **50 basis points or 0.5 per cent of the GDP** in case of **extraordinary circumstances**.
- This relaxation was provided under **Section 4(2) of the Act**, which allows the Centre to exceed the annual fiscal deficit target citing certain grounds.
- The **grounds include**
 - National security, war
 - National calamity
 - Collapse of agriculture severely affecting farm output and incomes
 - Structural reforms with unanticipated fiscal implications
 - Decline in real output growth of a quarter by at least **3 percentage points** below the **average of the previous four quarters**.
- During the **global financial crisis in 2008-09**:
 - The Centre resorted to a focused fiscal stimulus: tax relief to boost demand and increased expenditure on public projects **to create employment and public assets**, to counter the fallout of the global slowdown.
 - This led to the fiscal deficit climbing to 6.2%, from a budgeted goal of 2.7%.
 - Simultaneously, **the deficit goals for the States too were relaxed** to 3.5% of Gross State Domestic Product (GSDP) for 2008-09 and 4% of GSDP for fiscal 2009-10.

- **Use of Escape clause in view of COVID-19:**
 - The Fiscal deficit for 2019-20 has been reported as 4.6% of the GDP, as per the latest data provided by the Controller General of Accounts (CGA).
 - The lockdown could cause severe contraction in economic output and the COVID-19 pandemic could be considered as a national calamity.
 - Also, the government has already made the use of escape clause this year.
 - Union Government has provided the states with the additional 0.5 per cent leeway (in addition to 3% of GSDP) provided to them under the Act to deal with extraordinary situations.
- ***In view of the COVID-19 situation, and*** the unprecedented nature of the pandemic and its devastating impact on the global economy, another significant deviation from the FRBM norms is very likely in FY20-21 and next fiscal years
- The fiscal glide path has been revised to setting of a target of **3.1% for March 2023**